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01

Taking Risks and Making Profits Within The Dynamic Business Environment



Learning Objective

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Part 1. Describe the relationship between profit and risk and show how businesses can raise the standard of living for all.

Part 2. Explain factors contribute to the creation of wealth

Part 3. Identify business environments

Basic Terminologies

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Business

- *Any activity that seeks to provide goods and services to others while operating at a profit.*

Entrepreneur

- *A person who risks time and money to start and manage a business.*

Goods

- *Tangible products such as computers, food, clothing, cars and appliances.*

Services

- *Intangible products (that can't be held in your hand) like education, healthcare, insurance, recreation and travel.*

Revenue

- *The total amount of money a business takes in during a given period by selling goods and services.*

Profit

- *The amount of money a business earns above and beyond what it spends for salaries and other expenses*

Loss

- *Occurs when a business's expenses are more than its revenues.*

Matching Risk with Profit

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- **Risk --** *The chance an entrepreneur takes of* ***losing time and money*** *on a business that* ***may not prove profitable***.
- Not all businesses make the same amount of profit.
- Businesses take risks, but ***with great risks could come great profit***.
  - **SpaceX** - Elon Musk invested nearly all his fortune into building rockets, facing repeated launch failures in the early years. Many predicted bankruptcy. SpaceX now has contracts with NASA, commercial satellite companies, and Starlink internet service — valued at tens of billions.
  - **Meta (Facebook)** - Spent over $19 billion to acquire WhatsApp in 2014, which had almost no revenue at the time. Also poured billions into the metaverse despite uncertain adoption. WhatsApp is now one of the most-used messaging apps in the world, strengthening Meta's dominance in social networking.

Who Takes The Entrepreneurial Challenge?

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In Indonesia:

- Entrepreneurship rate: only around **3.5%** (October 2024), with a target to increase to **8% [1].**
- In **developed countries**, **at least 10%** of their citizens engage in entrepreneurship
- Indonesia is among the countries with the **highest rate of female entrepreneurship** in the Asia-Pacific region, according to the Global Entrepreneurship Monitor 2023 and the World Bank 2020. [2]

Sources:
[1] *Entrepreneurship Indicator for Inclusive Economic Growth: Minister* (Oktober 2024) https://en.antaranews.com/news/337324/entrepreneurship-indicator-for-inclusive-economic-growth-minister
[2] Rachmi, C. (2024). *Women Entrepreneurs and SMEs in Indonesia*. https://arts.unimelb.edu.au/__data/assets/pdf_file/0020/5160323/RACHMI_2024.pdf

Standard Of Living & Quality Of Life

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Standard of Living

- *The amount of goods and services people can buy with the money they have.*

Quality of Life

- *The general well-being of a society in terms of its political freedom, natural environment, education, healthcare, safety, amount of leisure and rewards that add to personal satisfaction.*

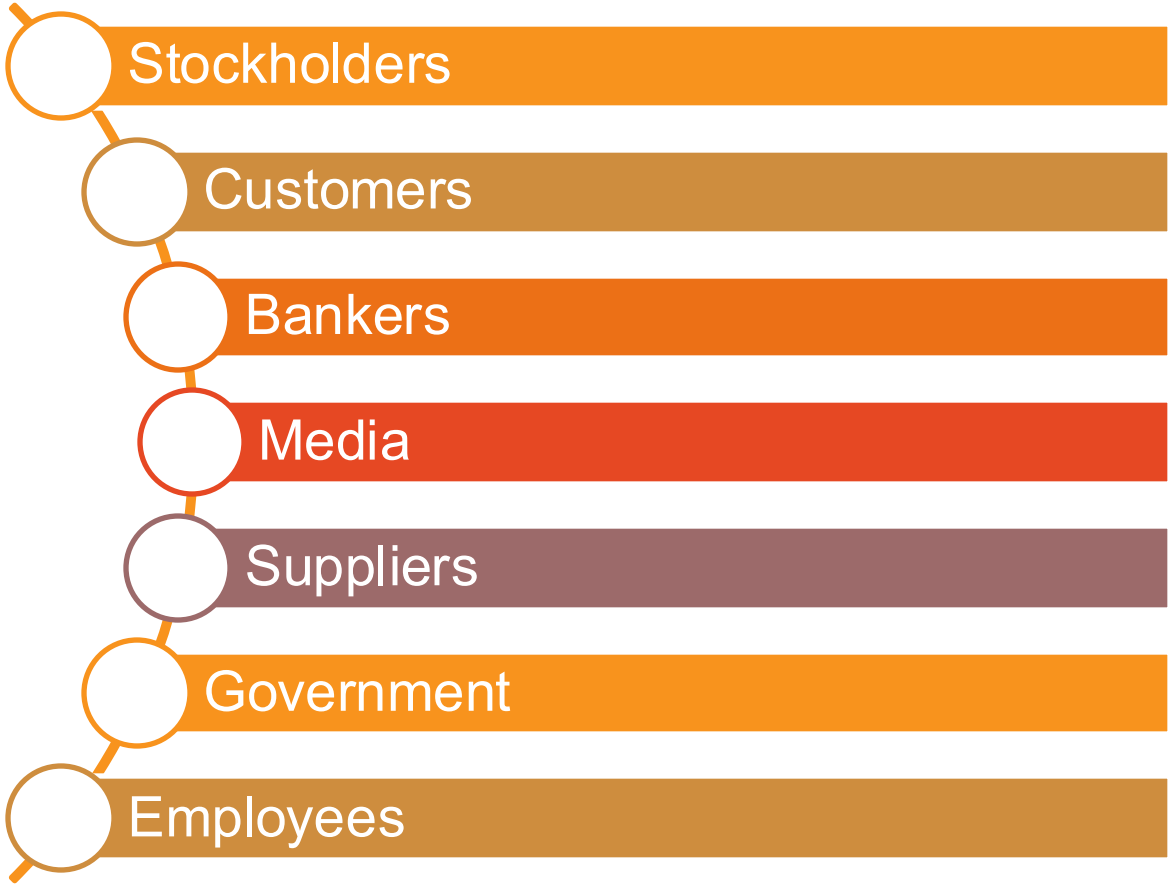


- Different countries have different standards of living
- Workers in other countries may make more money, but prices for products are higher.

Responding to Various Stakeholders

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*" All the people who stand to **gain or lose** by the **policies and activities of a business** and **whose concerns the businesses need to address**."*



Responding to Various Stakeholders (2)

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Discuss:
Staying competitive may call for **outsourcing**.
It may be **legal and profitable**, **but is it best for all the stakeholders**?

Outsourcing

Contracting with other companies (often in other countries) to do some of the firm's functions, like production or accounting.

***Consequences**: jobs have been lost to overseas competitors*

Insourcing

Foreign companies opening offices and factories in the country.

***Consequences**: creates many new jobs in the country*

Using Business Principles in Nonprofit Organizations

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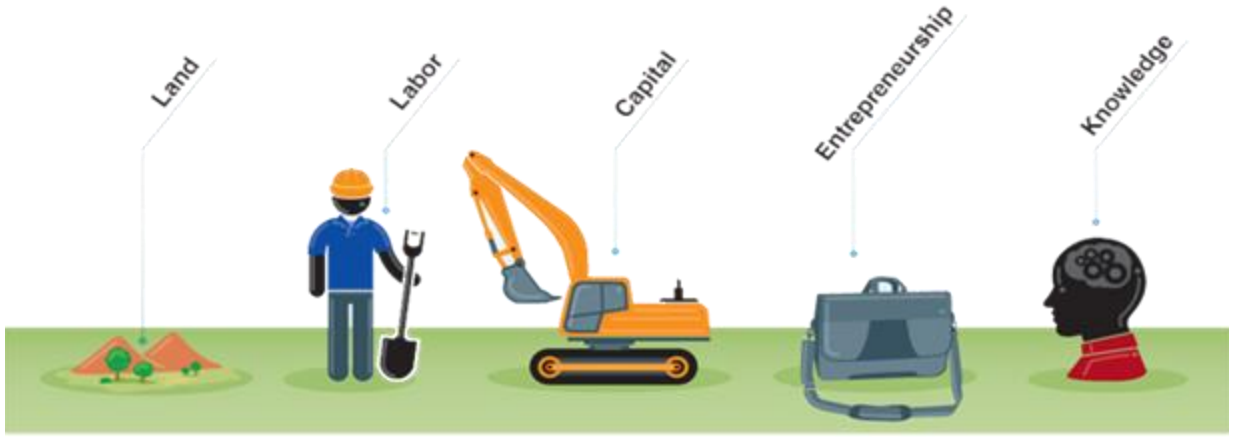
- **Nonprofit Organization --** *An organization whose* ***goals do not include making a personal profit for its owners*** *or organizers.*

- **Do we need to learn business administration to build a nonprofit organization?**
  - **YES!**

- **Social entrepreneurs are** people who use business principles to start and manage not-for-profits and help address social issues
  - Example: Muhammad Yunus won the Nobel Prize for starting the Grameen Bank, a microlending organization.
  - In Indonesia? Kitabisa.com (crowdfunding), Klinik Asuransi Sampah, etc.

The Five Factors of Production

- Why some countries are relatively wealthy and others poor?
- Reflect on how **Mexico and Indonesia** has large numbers of **land and labor**, but still **not considered as rich countries**



- What makes rich countries rich today is a combination of **entrepreneurship** and the **effective of knowledge**. Also, the business environment either encourages or discourages entrepreneurship

The Business Environment

Five elements in the business environment



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The Technological Environment

Technology makes us more **effective** (achieving desired goals), **efficient** (using minimum resources for maximum results), and **productive** (producing more output in less time).



The Growth of Ecommerce

- *B2C*: Business to Consumer
- *B2B*: Business to Business



Using Technology to Be Responsive to Customer

- *Using technology enables businesses to respond to customer needs faster, more accurately, and with personalized solutions.*

The Social Environment

Managing Diversity

- Embracing workforce diversity fosters innovation and improves brand reputation, attracting both talent and customers from different backgrounds.

The Increase in the Number of Older Citizens

- An aging population drives demand for healthcare, senior-friendly products, and services, creating growth opportunities in these markets.

The Increase in the Number of Single-Parent Families

- Businesses can cater to single-parent households by offering flexible work arrangements, affordable childcare solutions, and convenient products.

The Rise of Gen Z's Economic Influence

- Gen Z's growing purchasing power pushes companies to adapt to digital-first marketing, sustainability demands, and personalized shopping experiences.

The Competitive Environment

- **Competing by Exceeding Customer Expectations**
  - Providing better goods and services with better values for money
- **Competing by Restructuring and Empowerment**
  - Firms must give their **frontline workers**—for example, office clerks, front-desk people at hotels, and salespeople—the **responsibility, authority, freedom, training, and equipment** they need **to respond quickly to customer requests.**

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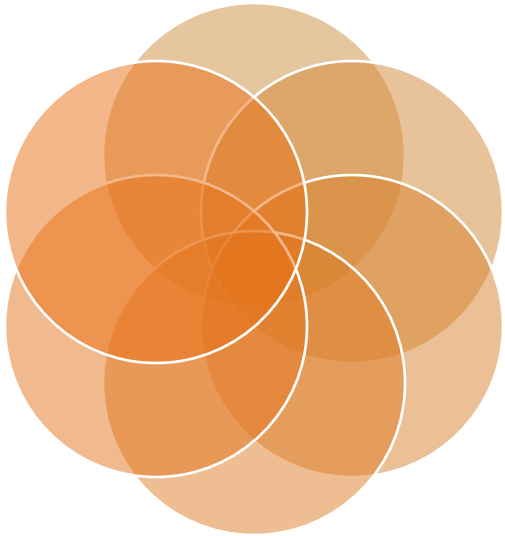
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Government's Role In Business

Government can promote business by…

Minimizing spending and keeping taxes and regulations to a minimum.

Minimizing corruption.



Allowing private ownership of businesses.

Establishing a currency that's tradable in world markets.

Minimizing interference with the free exchange of goods and services.

Passing laws that enable businesspeople to write enforceable contracts.

The Global Environment

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Important changes on growth of global competition

- War and terrorism
- Increase of free trade among nations.
- Climate change

Global Environment

References

Nickels, W. G., McHugh, J. M., & McHugh, S. M. (2024). Understanding business. *Taking Risks and Making Profits within the Dynamic Business Environment (pp 2-20)*. Boston: McGraw-Hill.